Laopu Gold 6181.HK 6181 HK

EQUITY: GENERAL CONSUMER

Sales to be dragged by weak gold price

We remain confident in Laopu's ability to enhance consumer perception over long term; maintain Buy

2Q26F sales negatively impacted by gold price decline

We hosted an Investor Call with Laopu Gold (16 July) to obtain updates on the company's recent strategic and operational developments. According to management, the company's sales experienced headwinds from the decline in gold prices in 2Q26, which we believe has been more or less priced in by the capital market already (see *our report*). Management also shared that Laopu took proactive measures to stimulate consumer demand in 2Q26, including offering more attractive rebates/gifts, introducing new products with affordable prices, and providing support/promotions to higher-tier clients across select shopping malls; these measures have already generated satisfactory results and will be expanded to cover more Laopu boutiques in 2H26. We remain confident in Laopu's long-term growth trajectory to become one sustained high-end brand, thanks to its steady steps for improving consumer recognition. We thus reiterate our Buy rating. We, however, also lower our target price to HKD905.00 to factor in our lowered FY26F earnings estimate driven by the slower-than-expected sales growth in 2Q26F (but also partially offset by Laopu's resilient gross margin).

Operations improving despite volatile sales in 2Q26

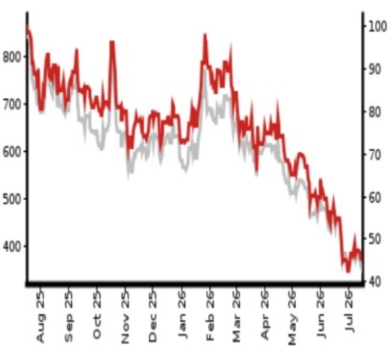
Laopu continued its operational developments in 2Q26, namely unique product introductions, boutique upgrades and VIC segment expansion. In particular, we are positive on Laopu's recent store upgrade efforts (e.g., relocation/expansion of boutiques in Shenzhen MixC World, the Shanghai IFC Mall, and the Shanghai Plaza 66). Upgrading these shops will not only increase the servicing areas of Laopu to accommodate more consumers, but also enable differentiated shopping experiences for customers.

Maintain Buy; target price lowered to HKD905.00 (159% implied upside)

We reduce FY26F-28F revenue/earnings by 5-6%/9-11% mainly to reflect the increased uncertainty around sales due to a decline in gold prices (*Fig. 1*); however, should gold prices stabilize in the next few quarters, the capital market may turn less pessimistic about Laopu's sales, in our view. We also cut our target F12M P/E to 20.0x (historical average F12M PE, from 22.5x previously), consistent with our slower earnings growth forecasts. Our new target price is HKD905.00 (from HKD1,114.00 previously, *Fig. 2*).

Rating Remains	Buy
Target price Reduced from HKD 1,114.00	HKD 905.00
Closing price 17 July 2026	HKD 350.00
Implied upside	+158.6%
Market Cap (USD mn)	7,890.7
ADT (USD mn)	70.0

Relative performance chart



Source: LSEG, Nomura

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Year-end 31 Dec	FY25	FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New
Revenue (mn)	27,303	39,501	37,597	46,573	43,966	52,515	49,333
Reported net profit (mn)	4,868	7,663	7,003	9,179	8,231	10,413	9,261
Normalised net profit (mn)	4,868	7,663	7,003	9,179	8,231	10,413	9,261
FD normalised EPS	27.60	43.44	39.70	52.04	46.66	59.04	52.50
FD norm. EPS growth (%)	191.4	57.4	43.9	19.8	17.5	13.4	12.5
FD normalised P/E (x)	11.9	–	8.3	–	7.0	–	6.7
EV/EBITDA (x)	9.1	–	6.3	–	5.4	–	5.1
Price/book (x)	5.2	–	3.8	–	2.9	–	2.4
Dividend yield (%)	3.6	–	5.1	–	6.0	–	6.3
ROE (%)	66.4	57.9	53.7	50.1	46.6	43.0	40.4
Net debt/equity (%)	38.4	20.3	16.1	13.6	12.0	9.2	8.6

Source: Company data, Nomura estimates

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Key data on Laopu Gold

Performance

(%)	1M	3M	12M		
Absolute (HKD)	-22.6	-44.6	-59.4	M cap (USDmn)	7,890.7
Absolute (USD)	-22.6	-44.7	-59.4	Free float (%)	12.0
Rel to Hang Seng Index	-25.4	-40.2	-61.5	3-mth ADT (USDmn)	70.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	8,506	27,303	37,597	43,966	49,333
Cost of goods sold	-5,004	-17,029	-23,089	-26,952	-30,229
Gross profit	3,501	10,274	14,507	17,014	19,104
SG&A	-1,528	-3,724	-5,245	-6,155	-6,906
Employee share expense					
Operating profit	1,973	6,549	9,262	10,859	12,198
EBITDA	2,154	6,889	9,669	11,308	12,685
Depreciation	-178	-301	-369	-411	-448
Amortisation	-3	-38	-38	-38	-38
EBIT	1,973	6,549	9,262	10,859	12,198
Net interest expense	-30	-139	-141	-143	-144
Associates & JCEs					
Other income	4	-26	-27	-27	-27
Earnings before tax	1,947	6,384	9,094	10,690	12,027
Income tax	-473	-1,516	-2,092	-2,459	-2,766
Net profit after tax	1,473	4,868	7,003	8,231	9,261
Minority interests	0	0	0	0	0
Other items					
Preferred dividends					
Normalised NPAT	1,473	4,868	7,003	8,231	9,261
Extraordinary items					
Reported NPAT	1,473	4,868	7,003	8,231	9,261
Dividends	-1,070	-2,052	-2,952	-3,470	-3,904
Transfer to reserves	403	2,816	4,051	4,761	5,357
Valuations and ratios					
Reported P/E (x)	34.7	11.9	8.3	7.0	6.7
Normalised P/E (x)	34.7	11.9	8.3	7.0	6.7
FD normalised P/E (x)	34.7	11.9	8.3	7.0	6.7
Dividend yield (%)	1.9	3.6	5.1	6.0	6.3
Price/cashflow (x)	–	–	10.7	13.7	12.7
Price/book (x)	13.6	5.2	3.8	2.9	2.4
EV/EBITDA (x)	27.3	9.1	6.3	5.4	5.1
EV/EBIT (x)	29.8	9.5	6.5	5.6	5.3
Gross margin (%)	41.2	37.6	38.6	38.7	38.7
EBITDA margin (%)	25.3	25.2	25.7	25.7	25.7
EBIT margin (%)	23.2	24.0	24.6	24.7	24.7
Net margin (%)	17.3	17.8	18.6	18.7	18.8
Effective tax rate (%)	24.3	23.7	23.0	23.0	23.0
Dividend payout (%)	72.6	42.2	42.2	42.2	42.2
ROE (%)	57.5	66.4	53.7	46.6	40.4
ROA (pretax %)	51.3	52.8	46.5	46.6	42.2
Growth (%)					
Revenue	167.5	221.0	37.7	16.9	12.2
EBITDA	210.4	219.7	40.4	16.9	12.2
Normalised EPS	212.6	191.4	43.9	17.5	12.5
Normalised FDEPS	212.6	191.4	43.9	17.5	12.5

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	2,154	6,889	9,669	11,308	12,685
Change in working capital	-2,866	-10,540	-2,304	-4,801	-5,271
Other operating cashflow	-517	-3,197	-1,957	-2,286	-2,567
Cashflow from operations	-1,228	-6,848	5,408	4,221	4,847
Capital expenditure	-71	-415	-247	-255	-263
Free cashflow	-1,299	-7,263	5,161	3,966	4,584
Reduction in investments	0	0	0	0	
Net acquisitions	-71	-415	-247	-255	-263
Dec in other LT assets	-65	-127	-66	-38	-38
Inc in other LT liabilities	-1	9	25	17	17
Adjustments	137	485	250	238	246
CF after investing acts	-1,299	-7,311	5,123	3,928	4,546
Cash dividends					
Equity issue					
Debt issue					
Convertible debt issue					
Others	1,962	8,646	-3,468	-3,895	-4,352
CF from financial acts	1,962	8,646	-3,468	-3,895	-4,352
Net cashflow	663	1,335	1,655	33	194
Beginning cash	70	733	2,068	3,723	3,757
Ending cash	733	2,068	3,723	3,757	3,950
Ending net debt	641	4,196	2,441	2,408	2,214

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	733	2,068	3,723	3,757	3,950
Marketable securities					
Accounts receivable	801	1,280	1,736	1,791	2,167
Inventories	4,088	16,044	16,419	21,322	26,333
Other current assets	212	1,157	1,568	1,831	2,053
Total current assets	5,833	20,549	23,447	28,700	34,503
LT investments					
Fixed assets	113	175	314	441	559
Goodwill					
Other intangible assets	3	13	13	13	13
Other LT assets	388	515	581	618	656
Total assets	6,337	21,253	24,354	29,772	35,731
Short-term debt	1,373	6,164	6,164	6,164	6,164
Accounts payable	10	17	28	33	37
Other current liabilities	865	3,699	2,626	3,041	3,375
Total current liabilities	2,249	9,880	8,819	9,238	9,577
Long-term debt	0	100	0	0	0
Convertible debt					
Other LT liabilities	168	177	202	219	235
Total liabilities	2,416	10,157	9,020	9,457	9,812
Minority interest	168	176	176	176	176
Preferred stock					
Common stock					
Retained earnings	2,682	8,867	12,205	16,669	21,839
Proposed dividends	1,070	2,052	2,952	3,470	3,904
Other equity and reserves					
Total shareholders' equity	3,752	10,919	15,158	20,139	25,743
Total equity & liabilities	6,337	21,253	24,354	29,772	35,731
Liquidity (x)					
Current ratio	2.59	2.08	2.66	3.11	3.60
Interest cover	64.8	47.1	65.5	76.0	84.5
Leverage					
Net debt/EBITDA (x)	0.30	0.61	0.25	0.21	0.17
Net debt/equity (%)	17.1	38.4	16.1	12.0	8.6
Per share					
Reported EPS (CNY)	9.47	27.60	39.70	46.66	52.50
Norm EPS (CNY)	9.47	27.60	39.70	46.66	52.50
FD norm EPS (CNY)	9.47	27.60	39.70	46.66	52.50
BVPS (CNY)	24.12	63.58	85.93	114.17	145.94
DPS (CNY)	6.35	11.95	16.74	19.67	22.13
Activity (days)					
Days receivable	25.3	13.9	14.6	14.6	14.7
Days inventory	195.3	215.8	256.6	255.6	288.5
Days payable	1.4	0.3	0.4	0.4	0.4
Cash cycle	219.2	229.4	270.9	269.8	302.7

Source: Company data, Nomura estimates

Company profile

Laopu Gold is a prominent jewelry company that designs, manufactures, and sells a wide range of exquisite jewelry products across Mainland China, Hong Kong, and Macau. Their offerings include elegant pendants, bangles, bracelets, rings, and ear studs, as well as specialized gem-set jewelry featuring diamonds and other precious gemstones. In addition to their retail products, Laopu Gold provides maintenance and repair services, ensuring the longevity and beauty of their jewelry for customers. With a commitment to quality and craftsmanship, Laopu Gold has established itself as a trusted name in the jewelry industry.

Valuation Methodology

Our target price of HKD905 is based on 20x FY26F P/E, consistent with Laopu's average F12M P/E of 20.3x since its listing in June 2024. The benchmark index for the company is the Hang Seng Index.

Risks that may impede the achievement of the target price

Key downside risks include: 1) any significant weakening of gold price, 2) higher-than-expected fashion risk, 3) weaker-than-expected macro environment.

ESG

Laopu Gold is dedicated to sustainable mining, employing eco-friendly extraction methods and efficient water management to minimize environmental impact while fostering community engagement through local job creation and investment in health and safety. The company aims to reduce its carbon footfrint by implementing energy solutions and optimizing water usage, and has committed to investing USD2mn in community development projects by end-2024.

Fig. 1: Laopu Gold – revisions to our FY26-28F forecasts

	Current			Previous			% revision		
	2026F	2027F	2028F	2026F	2027F	2028F	2026F	2027F	2028F
Revenue	37,597	43,966	49,333	39,501	46,573	52,515	-4.8%	-5.6%	-6.1%
Gross profit	14,507	17,014	19,104	15,039	17,913	20,286	-3.5%	-5.0%	-5.8%
Operating profit (loss)	9,262	10,859	12,198	10,119	12,090	13,695	-8.5%	-10.2%	-10.9%
NP attributable	7,003	8,231	9,261	7,663	9,179	10,413	-8.6%	-10.3%	-11.1%
Adjusted NP attributable	7,191	8,451	9,508	7,860	9,413	10,677	-8.5%	-10.2%	-10.9%
% GPM	38.6%	38.7%	38.7%	38.1%	38.5%	38.6%	0.5%	0.2%	0.1%
% OPM	24.6%	24.7%	24.7%	25.6%	26.0%	26.1%	-1.0%	-1.3%	-1.4%
% NPM	18.6%	18.7%	18.8%	19.4%	19.7%	19.8%	-0.8%	-1.0%	-1.1%
% Adjusted NPM	19.1%	19.2%	19.3%	19.9%	20.2%	20.3%	-0.8%	-1.0%	-1.1%
% y-y									
Revenue	37.7%	16.9%	12.2%	44.7%	17.9%	12.8%			
Gross profit	41.2%	17.3%	12.3%	46.4%	19.1%	13.2%			
Operating profit (loss)	41.4%	17.2%	12.3%	54.5%	19.5%	13.3%			
NP attributable	43.9%	17.5%	12.5%	57.4%	19.8%	13.4%			
Adjusted NP attributable	43.0%	17.5%	12.5%	56.3%	19.7%	13.4%			
% GPM	1.0%	0.1%	0.0%	0.4%	0.4%	0.2%			
% OPM	0.6%	0.1%	0.0%	1.6%	0.3%	0.1%			
% NPM	0.8%	0.1%	0.1%	1.6%	0.3%	0.1%			
% Adjusted NPM	0.7%	0.1%	0.1%	1.5%	0.3%	0.1%			

Source: Company data, Nomura estimate

Fig. 2: Laopu Gold – valuation summary

Valuation summary	
CNYHKD	1.14
FY25-28F NP CAGR	23.9%
FY26F NP (CNY mn)	7,003
# shares o/s (mn)	176
FY26F target P/E	20.00
TP (HKD)	**905**

Source: Company data, Nomura estimate

Fig. 3: Laopu Gold – F12M P/E trend

Source: Bloomberg Finance L.P., Nomura research

Appendix A-1

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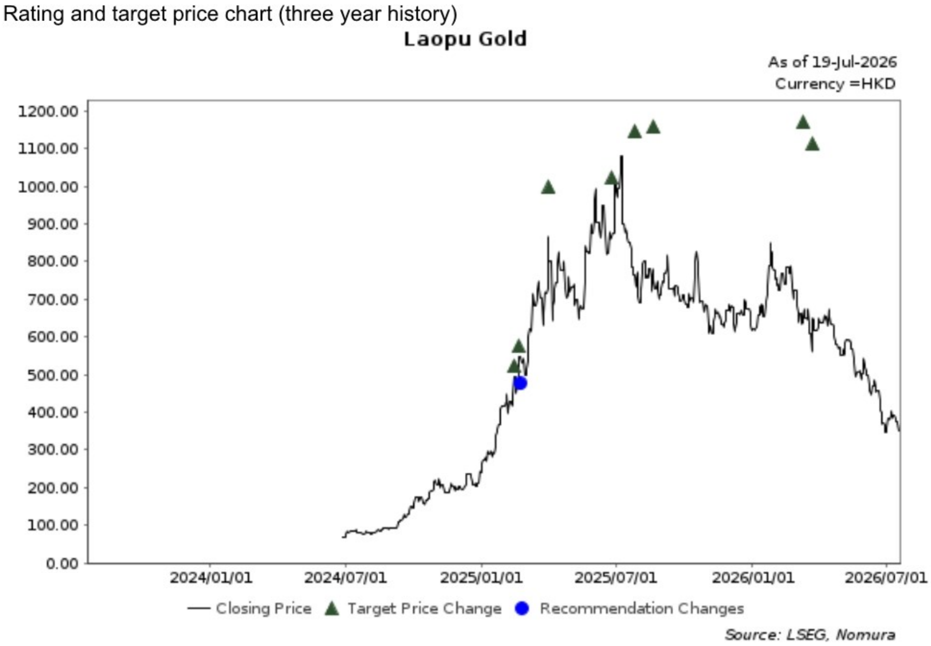
Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Laopu Gold	6181 HK	HKD 350.00	17-Jul-2026	Buy	N/A	

Laopu Gold (6181 HK) **HKD 350.00 (17-Jul-2026)** Buy (Sector rating: N/A)

Rating and target price chart (three year history)



Date	Rating	Target price	Closing price
24-Mar-26		1,114.00	648.50
11-Mar-26		1,171.00	654.00
21-Aug-25		1,160.00	751.00
27-Jul-25		1,148.00	764.50
26-Jun-25		1,023.00	868.50
02-Apr-25		999.00	799.00
20-Feb-25		576.00	468.40
14-Feb-25	Buy		493.00
14-Feb-25		525.00	493.00

For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our target price of HKD905 is based on 20x FY26F P/E, consistent with Laopu's average F12M P/E of 20.3x since its listing in June 2024. The benchmark index for the company is the Hang Seng Index.
Risks that may impede the achievement of the target price Key downside risks include: 1) any significant weakening of gold price, 2) higher-than-expected fashion risk, 3) weaker-than-expected macro environment.

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